Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$90.57 ▼ 4.22%	12M Price Target $95.00	52-Week Range $63.52 – $150.47	Market Cap $81.43B

HOOD: Crypto Chill + Options Flow Flashing Caution

WHAT HAPPENED

- HOOD dropped 4.2% on heavy volume (28.7M shares, biggest day of the week) with zero company-specific news — that's a sentiment flush, not a fundamentals story. Classic sign the stock is being sold by someone bigger than retail, likely profit-taking after the massive run from $63 earlier this year.
- The slide is now five straight down days from $96.58 → $90.57 (-6.2%), while Financials are flat — so this isn't sector-wide, it's HOOD-specific. Probably crypto prices softening (HOOD's crypto revenue is roughly 30-40% of transaction revenue) and traders de-risking into earnings season.

WHY IT MATTERS

The options tape is the tell here — someone bought 5,300+ November $91 puts at 17x the existing open interest, meaning this is fresh positioning, not a close-out. Translation: a big player is paying real money to bet HOOD goes lower, likely into or through earnings. Combine that with institutional ownership at 79.5% (very high — means when they sell, there's no one left to buy) and you've got a setup where a bad print or weak crypto guide could trigger forced selling. That said, the fundamentals aren't broken — this looks like a positioning reset in an expensive, momentum-driven stock, not the start of a thesis-breaker.

POLICY & POLITICAL WATCH

The big one: the FIT21 crypto market structure bill and the stablecoin framework (GENIUS Act) are both live in Congress — if either passes cleanly, HOOD is a direct winner because it legitimizes their crypto trading and tokenized stock ambitions. On the flip side, the SEC under the current administration has been friendly to payment-for-order-flow (that's how HOOD makes most of its money — market makers pay HOOD to execute your trades), but a Democratic SEC reversal in 2028 is a tail risk the market will start pricing in next year. Watch also for any tokenized-equities rulemaking — HOOD launched EU tokenized stocks and wants to bring them to the US, which needs regulatory green-light.

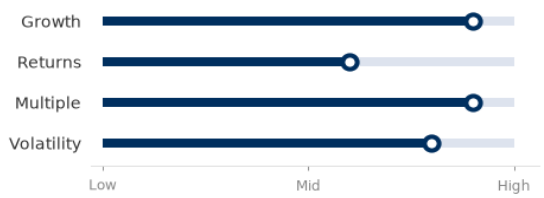
IS IT EXPENSIVE?

At $81B market cap on ~$4.85B of expected 2026 revenue, you're paying about $17 for every $1 of sales — that's rich for a brokerage (Schwab trades closer to $6) but closer to fintech peers because HOOD is growing 30%+ while Schwab grows single digits. On forward earnings it's roughly 46x — meaning you're paying $46 today for every $1 of profit next year — which only works if crypto stays hot and user growth doesn't stall. Not a bargain, but not insane if the growth story holds.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$90.57**
12M Price Target	**$95.00**
Upside / (Downside)	**+4.9%**
Market Cap	**$81.43B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.70**
Fwd P/E	**46.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$105.00**	$92.00	**$80.00**
6 Months	**$125.00**	$100.00	**$72.00**
1 Year	**$150.00**	$110.00	**$65.00**
2 Years	**$190.00**	$135.00	**$60.00**
5 Years	**$280.00**	$180.00	**$50.00**
10 Years	**$450.00**	$250.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.92%) is bid on supply concerns, Healthcare catching a bid as defensive money rotates in — classic late-cycle risk-off behavior.

COOLING OFF: Consumer Staples weak, Industrials flat — not seeing broad defensive panic, just selective de-risking in high-beta names like HOOD.

ROTATION WATCH: Financials are barely positive while HOOD gets dumped — money is leaving speculative/retail-brokerage exposure and moving to boring, cash-flow-stable names. That's a yellow flag for HOOD specifically.

RELATED PLAY: If you believe in the crypto-brokerage thesis but want less single-stock risk, COIN (Coinbase) moves in sympathy and has cleaner crypto exposure; or IBIT (Bitcoin ETF) if you just want the underlying driver.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct crypto exposure, benefits from the same stablecoin/market-structure bills but has more institutional revenue mix.
- IBKR (Interactive Brokers): Boring but winning — professional traders, international reach, no crypto drama, grinding higher while HOOD chops.

HOOD CONTEXT: HOOD is lagging the broker peer group this week, which tells you this is a HOOD-specific positioning unwind, not a sector call. When a stock underperforms its peers on no news, it usually means a known seller is in the market — be patient, let them finish.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story (tokenization, crypto legislation, young user base compounding), but near-term the tape is ugly and the options flow is screaming caution.

POSITION SIZE: 2-4% — this is a volatile name that can move 10% in a week, so size it where a 30% drawdown doesn't ruin your month.

ENTRY POINTS: I'd be a buyer in the $80-85 zone, which is where the 200-day moving average and prior breakout support sit. Chasing it above $100 right now feels wrong given the options tape.

TIME HORIZON: 12-24 months — the catalyst is crypto market structure legislation passing and HOOD proving earnings durability through a full cycle.

WHEN TO BAIL: Out if crypto trading volume craters more than 40% quarter-over-quarter, if PFOF gets seriously threatened, or if the stock breaks $75 on volume (that's a technical break of the uptrend).

HEDGING: Simplest hedge — buy a cheap put a few months out as insurance, costs maybe 2-3% of your position but caps your downside if the November put-buyer we're seeing turns out to know something.

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